1.6 Accounts from incomplete records

Ascertainment of profit or loss and financial position is essential also for organisations which maintain incomplete records. Based on available information in the incomplete records and from memory, profit or loss may be calculated. The difference between the capital at the end and the capital at the beginning may be considered as the profit as the profit is adjusted in capital in such entities. Also, with the available data, the missing figures can be found out and then the final accounts may be prepared.

1.7 Ascertaining profit or loss from incomplete records through statement of affairs

Under this method, by comparing the capital (net worth) at the beginning and at the end of a specified period profit or loss is found out. Any increase in capital (net worth) is taken as profit while a decrease in capital is regarded as loss.

Capital at the beginning and at the end can be found out by preparing statement of affairs in the beginning and at the end of an accounting year respectively. A statement of affairs is a statement showing the balances of assets and liabilities on a particular date. This method of ascertaining profit is also called as statement of affairs method or networth method or capital comparison method.

1.7.1 Calculation of profit or loss through statement of affairs

The difference between the closing capital and the opening capital is taken as profit or loss of the business. Due adjustments are to be made for any withdrawal of capital from the business and for the additional capital introduced in the business.

Take the closing capital as the base. Drawings made during the year should be added with the closing capital. This is because drawings would have reduced the closing capital. Additional capital introduced during the year should be subtracted. This is because the additional capital introduced would have increased the closing capital. This will give the adjusted closing capital.

Adjusted closing capital = Closing capital + Drawings – Additional capital

By comparing adjusted closing capital with the opening capital the profit or loss can be ascertained. If the difference is a positive figure it is profit and if it is negative it is loss.

Closing Capital + Drawings – Additional Capital – Opening Capital = Profit/ Loss

Tutorial note

Opening capital + Additional capital + Profit/ – Loss – Drawings = Closing capital

Profit/Loss = Closing capital + Drawings – Additional capital – Opening capital

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